

SURVIVAL OF THE FATTEST

There was a fatal flaw in the argument that stocks have “always” beaten bonds in the long run: Reliable figures before 1871 do not exist. The indexes used to represent the U.S. stock market’s earliest returns contain as few as seven (yes, 7!) stocks.¹ By 1800, however, there were some 300 companies in America (many in the Jeffersonian equivalents of the Internet: wooden turnpikes and canals). Most went bankrupt, and their investors lost their knickers.

But the stock indexes ignore all the companies that went bust in those early years, a problem technically known as “survivorship bias.” Thus these indexes wildly overstate the results earned by real-life investors—who lacked the 20/20 hindsight necessary to know exactly which seven stocks to buy. A lonely handful of companies, including Bank of New York and J. P. Morgan Chase, have prospered continuously since the 1790s. But for every such miraculous survivor, there were thousands of financial disasters like the Dismal Swamp Canal Co., the Pennsylvania Cultivation of Vines Co., and the Snickers’s Gap Turn-pike Co.—all omitted from the “historical” stock indexes.

Jeremy Siegel’s data show that, after inflation, from 1802 through 1870 stocks gained 7.0% per year, bonds 4.8%, and cash 5.1%. But Elroy Dimson and his colleagues at London Business School estimate that the pre-1871 stock returns are overstated by at least two percentage points per year.² In the real world, then, stocks did no better than cash and bonds—and perhaps a bit worse. Anyone who claims that the long-term record “proves” that stocks are guaranteed to outperform bonds or cash is an ignoramus.